CASE STUDY 11

CORPORATE REVIEW POLICY -
BANKING CUSTOMER PROTECTION POLLICY

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1. Introduction

About Canara Bank

Canara Bank is a major public sector bank in India. It was established in 1906 by Ammembal Subba Rao Pai. The bank provides banking and financial services through branches and digital banking channels.

About Policy

Canara Bank's Customer Protection Policy provides guidelines to protect banking customers and ensure fair treatment. It covers unauthorised electronic transactions, customer liability, compensation, complaints and grievance redressal. The policy also supports safe digital banking and regulatory compliance.

2. Policy Overview

The policy aims to provide a safe, transparent and customer-friendly banking environment.

The policy focuses on:

• Protecting customers against unauthorised electronic transactions.

• Defining the liability of customers and the bank.

• Providing compensation for eligible financial losses.

• Providing an effective complaint and grievance-redressal system.

• Promoting transparency and accountability in banking services.

• Following Reserve Bank of India (RBI) guidelines.

Canara Bank also provides 24/7 transaction monitoring and digital security measures to identify suspicious transactions.

3. Key Provisions

The important provisions of Canara Bank's Customer Protection Policy are:

• **Major rules and guidelines:** Protection against unauthorised electronic transactions, customer liability limits, compensation and compliance with RBI guidelines.

• **Rights of customers:** Customers have the right to secure banking services, timely complaint handling and protection against unauthorised transactions.

• **Responsibilities of customers:** Customers should protect their PIN, OTP, passwords and other confidential information. They should also check their transactions regularly and report suspicious transactions quickly.

• **Bank's responsibilities:** Canara Bank provides transaction alerts, investigates reported unauthorised transactions and provides eligible compensation or reversal according to applicable rules.

• **Important procedures:** Customers should report unauthorised or suspicious transactions through the bank's designated channels as soon as possible.

Canara Bank provides online grievance registration and channels for reporting cyber financial frauds and blocking cards or accounts.

4. Compliance & Governance Analysis

Canara Bank's Customer Protection Policy follows applicable RBI guidelines and banking regulations. The policy defines customer liability, fraud reporting, compensation and grievance-redressal procedures.

The bank supports governance through internal controls, monitoring systems, complaint-handling mechanisms and regular review of policies. The bank also provides designated grievance officers and escalation mechanisms for customer complaints.

5. Policy Evaluation

Canara Bank's Customer Protection Policy has several strengths. It provides protection against unauthorised transactions, compensation provisions and a grievance-redressal system.

The policy is useful because customers can report fraud and complaints through different channels. Canara Bank also uses transaction monitoring, artificial intelligence and machine learning to identify suspicious online transactions.

Areas for improvement include faster complaint resolution, greater customer awareness, simpler fraud-reporting procedures and stronger digital fraud prevention.

The bank can further improve customer communication through multilingual information and regular customer-awareness programmes.

6. Business Relevance

Canara Bank's Customer Protection Policy is important in modern banking because it builds customer trust and supports safe digital banking.

The policy helps to:

• Reduce financial and operational risks.

• Protect customers from unauthorised transactions.

• Promote responsible banking practices.

• Improve customer confidence in digital banking.

• Support regulatory compliance.

• Strengthen corporate governance and accountability.

• Protect the reputation of the bank.

7. Recommendation

Canara Bank can further improve its Customer Protection Policy by simplifying fraud-reporting procedures and increasing customer awareness programmes.

Better implementation can be achieved through:

• Regular employee training on fraud and customer protection.

• Faster handling of customer complaints.

• Stronger real-time fraud detection and monitoring.

• Regular customer-awareness programmes.

• Periodic review and updating of the policy.

• Strong internal controls and regular audits.

• Effective monitoring of complaints and fraud cases.

8. Conclusion

Canara Bank's Customer Protection Policy provides a framework for protecting customers and reducing banking risks. It supports secure digital banking through fraud protection, compensation and grievance redressal.

Continuous monitoring, customer awareness, employee training and stronger digital security can further improve the effectiveness of the policy.

9. References

Customer education